

1 ENGROSSED HOUSE
2 BILL NO. 4028

By: Caldwell (Trey) and Kane of
the House

3 and

4 Hall and Haste of the
5 Senate

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8 An Act relating to revenue and taxation; amending 68
9 O.S. 2021, Section 2358.110, as amended by Section 4,
10 Chapter 375, O.S.L. 2024 (68 O.S. Supp. 2025, Section
11 2358.110), which relates to certain income tax
12 deduction; modifying taxable years for which
13 deduction allowable; and providing an effective date.

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2358.110, as
16 amended by Section 4, Chapter 375, O.S.L. 2024 (68 O.S. Supp. 2025,
17 Section 2358.110), is amended to read as follows:

18 Section 2358.110. A. As used in this section:

19 1. "Accredited investor" means a person or entity as defined
20 pursuant to Section 230.501 of Title 17 of the Code of Federal
21 Regulations;

22 2. "Eligible Oklahoma business venture" means a lawful business
23 entity that is determined by the Oklahoma Center for the Advancement
24 of Science and Technology (OCAST) for receipt of an equity

1 investment by an eligible Oklahoma venture capital company. In
2 determining whether an investment is a qualified equity investment,
3 OCAST shall consider the potential impact the investment would have
4 on the local and state economy and shall consider the following
5 factors:

- 6 a. the primary location of the entity,
- 7 b. the number of employees located or to be located in
8 this state,
- 9 c. state and local revenues generated from the
10 investment,
- 11 d. the economic benefits to the state,
- 12 e. the type and amount of the investment,
- 13 f. the current capitalization level and strategy, and
14 g. the industry classification of the entity;

15 3. "Eligible Oklahoma venture capital company" means a lawfully
16 recognized business entity the primary business purpose of which is
17 to accumulate funds for making investments in lawful for profit
18 business entities and which is organized in any of the following
19 forms:

- 20 a. general partnership,
- 21 b. limited partnership,
- 22 c. limited liability partnership,
- 23 d. limited liability company,
- 24 e. corporation, or

1 f. other lawfully recognized business entity;

2 4. "Lawful business entity" means the following:

3 a. a person,

4 b. a general partnership,

5 c. a limited partnership,

6 d. a limited liability partnership,

7 e. a limited liability company, or

8 f. a corporation; and

9 5. "Qualified equity investment" means a transfer of cash or
10 its equivalent by an accredited investor to an eligible Oklahoma
11 venture capital company and for purposes of the deduction authorized
12 by this section in an amount not in excess of Twenty-five Million
13 Dollars (\$25,000,000.00) by an accredited investor during a taxable
14 year.

15 B. For tax years 2022 through ~~2026~~ 2031, there shall be allowed
16 a deduction from Oklahoma taxable income or Oklahoma adjusted gross
17 income as determined pursuant to Section 2358 of this title equal to
18 the amount of qualified equity investment in an eligible Oklahoma
19 venture capital entity made by an accredited investor.

20 C. The maximum amount of qualified equity investment made by an
21 accredited investor for purposes of the deduction authorized by this
22 section shall not exceed Twenty-five Million Dollars
23 (\$25,000,000.00) for any taxable year of the investor.

1 D. Any qualified equity investment made for purposes of the
2 deduction authorized by this section shall be documented by the
3 issuance of shares of stock, membership interest or other evidence
4 of the equity interest acquired by the accredited investor. Such
5 evidence may take the form of physical shares or the electronic
6 equivalent of physical shares.

7 E. Records of the equity interest acquired by an accredited
8 investor shall be maintained by the accredited investor and the
9 eligible Oklahoma venture capital company for a period of at least
10 five (5) years from the date the equity investment is made by an
11 accredited investor.

12 F. A qualified equity investment made by an accredited investor
13 for purposes of the deduction authorized by this section shall not
14 be returned by the eligible Oklahoma venture capital company to the
15 accredited investor, if the accredited investor is a natural person,
16 or to any person related to such natural person within the third
17 degree of consanguinity or affinity, for a period of three (3) years
18 from the date of the qualified equity investment unless the return
19 is in the form of a dividend or other payment agreed to prior to or
20 simultaneously with the equity investment transfer from the
21 accredited investor to the eligible Oklahoma venture capital company
22 and only if the return of some part of the qualified equity
23 investment is based on the financial performance of either the
24 eligible Oklahoma venture capital company or the financial

1 performance of one or more for profit business entities in which the
2 accumulated equity funds of the eligible Oklahoma venture capital
3 company are further invested or both such measures of financial
4 performance.

5 G. A qualified equity investment made by an accredited investor
6 for purposes of the deduction authorized by this section shall not
7 be returned by the eligible Oklahoma venture capital company to the
8 accredited investor if the accredited investor is a lawful business
9 entity, or to any entity which owns fifty-one percent (51%) or more
10 of the voting equity interest of the accredited investor or to any
11 lawful business entity with respect to which the accredited investor
12 owns fifty-one percent (51%) or more of the voting equity interest,
13 within a period of five (5) years from the date of the equity
14 investment unless the return is in the form of a dividend or other
15 payment agreed to prior to or simultaneously with the equity
16 investment transfer from the accredited investor to the eligible
17 Oklahoma venture capital company and only if the return of some part
18 of the qualified equity investment is based on the financial
19 performance of either the eligible Oklahoma venture capital company
20 or the financial performance of one or more for profit business
21 entities in which the accumulated equity funds of the eligible
22 Oklahoma venture capital company are further invested or both such
23 measures of financial performance.

1 H. The deduction authorized by the provisions of this section
2 shall not be used to reduce the Oklahoma taxable income amount or
3 the Oklahoma adjusted gross income amount to less than zero (0).
4 There shall not be any carryover with respect to a deduction
5 authorized by the provisions of this section.

6 I. If the Oklahoma Tax Commission determines, either from
7 information accompanying any applicable income tax return or
8 schedule, form or supporting documentation filed in order to claim
9 the deduction authorized by this section, that the requirements of
10 this section were not fulfilled, the Oklahoma Tax Commission shall
11 notify the taxpayer claiming the deduction that the deduction has
12 been disallowed and the income tax liability for the taxpayer shall
13 be recalculated. The taxpayer shall retain all rights authorized
14 pursuant to the provisions of the Uniform Tax Procedure Code and the
15 Oklahoma Income Tax Code in order to contest the disallowance of
16 part or all of such deductions.

17 J. OCAST may promulgate rules to enforce the provisions of this
18 act. OCAST shall annually publish a report on the program created
19 in this section.

20 SECTION 2. This act shall become effective January 1, 2027.
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1 Passed the House of Representatives the 21st day of April, 2026.

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4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2026.

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9 Presiding Officer of the Senate